

exchanges worldwide. Out of these, 16 of them are extremely large, with the value of the companies listed on each of these large exchanges being over \$1 trillion. These larger exchanges account for 87 per cent of the value of the global stock market and are all located in Asia, North America or Europe. That's probably a lot of words, so let me break it down.

Think of a stock exchange like a list. Most countries have just one list. It lists all the companies that you can buy stocks in. This lets you see how much the price of that company stock is and how much the price has changed since yesterday.

So how is the stock exchange or list different to the stock market? Well, the stock market can be made up of a number of exchanges. For example, the US stock market is made up of 13 US exchanges, such as their famous New York Stock Exchange or the NASDAQ exchange (see [figure 4.1](#)), whereas the global stock market is made up of all 60 exchanges in the world.

Back in the day, before stock exchanges existed, investors used to gather in person to discuss and exchange investments. Sometimes it would be at a coffee shop in London, or at a park in the US.

New York City was booming in the eighteenth century, and investors and brokers would often meet under a buttonwood tree to do deals. The tree was the most perfect spot, situated close to the financial district and banks. What was the name of the street the tree was located at? Wall Street.